IS Audit & Control

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Audit Planning and Analytical Procedures

Problems

Analytical Procedures

- 8-33 Your comparison of the gross margin percent for Jones Drugs for the years 2008 through 2011 indicates a significant decline. This is shown by the following information:

	2011	2010	2009	2008
Sales (thousands)	$ 14,211	$ 12,916	$ 11,462	$ 10,351
CGS (thousands)	9,223	8,266	7,313	6,573
Gross margin	$ 4,988	$ 4,650	$ 4,149	$ 3,778
Percent	35.1	36.0	36.2	36.5

- A discussion with Marilyn Adams, the controller, brings to light two possible explanations. She informs you that the industry gross profit percent in the retail drug industry declined fairly steadily for 3 years, which accounts for part of the decline. A second factor was the declining percent of the total volume resulting from the pharmacy part of the business. The pharmacy sales represent the most profitable portion of the business, yet the competition from discount drugstores prevents it from expanding as fast as the nondrug items such as magazines, candy, and many other items sold. Adams feels strongly that these two factors are the cause of the decline.

Analytical Procedures

- The following additional information is obtained from independent sources and the client's records as a means of investigating the controller's explanations:

	Jones Drugs ($ in thousands)				Industry Gross Profit Percent for Retailers of Drugs and Related Products
	Drug Sales	Nondrug Sales	Drug Cost of Goods Sold	Nondrug Cost of Goods Sold	
2011	$5,126	$9,085	$3,045	$6,178	32.7
2010	5,051	7,865	2,919	5,347	32.9
2009	4,821	6,641	2,791	4,522	33.0
2008	4,619	5,732	2,665	3,908	33.2

- a. Evaluate the explanation provided by Adams. Show calculations to support your conclusions.
- b. Which specific aspects of the client's financial statements require intensive investigation in this audit?

Analytical Procedures

- Gross margin percentage for drug and nondrug sales is as follows:

	DRUGS	NONDRUGS
2011	40.6%	32.0%
2010	42.2%	32.0%
2009	42.1%	31.9%
2008	42.3%	31.8%

- Drug Gross Margin = 5126-3045 = 2081
  Gross Margin % = (2081/5126) x 100 = 40.6%
- The explanation given by Adams is correct in part, but appears to be overstated. The gross margin percentage for non-drugs is approximately consistent. For drugs, the percent dropped significantly in the current year, far more than industry declines. The percent had been extremely stable before 2011.

Analytical Procedures

- In dollars, the difference is approximately $82,000 (42.2% - 40.6% x $5,126,000) which appears to be significant. Of course, the decline in Jones' prices may be greater than the industry due to exceptional competition.

Analytical Procedures

- 8-36 Following are the auditor's calculations of several key ratios for Cragston Star Products. The primary purpose of this information is to understand the client's business and assess the risk of financial failure, but any other relevant conclusions are also desirable.

	Ratio	2011	2010	2009	2008	2007
1	Current ratio	2.08	2.26	2.51	2.43	2.50
2	Quick ratio	.97	1.34	1.82	1.76	1.64
3	Times interest earned	3.50	3.20	4.10	5.30	7.10
4	Accounts receivable turnover	4.20	5.50	4.10	5.40	5.60
5	Days to collect receivables	86.90	66.36	89.02	67.59	65.18
6	Inventory turnover	2.03	1.84	2.68	3.34	3.36
7	Days to sell inventory	179.80	198.37	136.19	109.28	108.63
8	Net sales divided by tangible assets	.68	.64	.73	.69	.67
9	Profit margin	.13	.14	.16	.15	.15
10	Return on assets	.09	.09	.12	.10	.09
11	Return on equity	.05	0.6	.10	.10	.11
12	Earnings per share	$4.30	$4.26	$4.49	$4.26	$4.14

Analytical Procedures

- a. What major conclusions can be drawn from this information about the company's future?
- b. What additional information would be helpful in your assessment of this company's financial condition?
- c. Based on the preceding ratios, which aspects of the company do you believe should receive special emphasis in the audit?

Analytical Procedures

- The company's financial position is deteriorating significantly. The company's ability to pay its bills is marginal (quick ratio = 0.97) and its ability to generate cash is weak (days to convert inventory to cash = 266.7 in 2011 versus 173.8 in 2007). The earnings per share figure is misleading because it appears stable while the ratio of net income to common equity has been halved in two years. The accounts receivable may contain a significant amount of uncollectible

Analytical Procedures

- accounts (accounts receivable turnover reduced 25% in four years), and the inventory may have a significant amount of unsalable goods included therein (inventory turnover reduced 40% in four years). The company's burden for increased inventory and accounts receivable levels has required additional borrowings. The company may experience problems in paying its operating liabilities and required debt repayments in the near future.